



Qualification Programme Examination Panelists' Report

Module C – Business Assurance (December 2018 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case background was related to a manufacturer of LED lighting in Hong Kong. Engaging subcontractors was a reality of working in a rapid-growth business environment. With the aid of practical scenarios developed in the case background, the exam tested candidates' application of auditing knowledge. The scope of questions related to common accounts, such as trade payables, inventories, loans and borrowings, land and constructions in progress. A risk-based audit approach was the main focus of this section, which tested candidates on risk assessment and design of audit procedures. The overall results were within expectation with a wide range of marks being scored by the candidates.

Specific Comments

Question 1(a) – 2 marks

The question required candidates to identify fraud risk in relation to the entity's purchases and trade payable process given certain threats, such as the lack of segregation of duties and the covenant maintained for the renewals of the bank loan, which were indicated in the case background. Fraud risk used to be a weak point of the candidates; similarly, the results were not satisfactory. The majority of the candidates indicated the correct threats, but were unable to demonstrate how these threats influenced the auditor's fraud risk considerations.

Question 1(b) – 3 marks

The question required candidates to evaluate the control risk of material misstatements in the entity's purchase and trade payable process. The results were satisfactory and most candidates scored high marks, as well as indicating the control risk.

Question 1(c) – 5 marks

The question required candidates to evaluate the risk of material misstatements of the entity's subcontracting fees relating to accuracy assertion. The results were fair, as few candidates were able to score high marks. This indicated that most of the candidates were aware of the general concept and applied it to the case.



Candidates who were able to score higher marks provided a more thoughtful and detailed analysis.

Question 1(d) – 5 marks

The question required candidates to propose substantive procedures to audit the completeness of the entity's trade payables at the year end. The results of this question were satisfactory and most candidates were able to design effective audit procedures, as well as addressing the audit risk as identified.

Question 2(a) – 5 marks

The question required candidates to propose procedures during the observation of the entity's inventory count. The results were satisfactory, as the question was straightforward; the question tested candidates on their basic knowledge of inventory count.

Question 2(b) – 3 marks

The question required candidates to identify and explain which type(s) of inventory items should be test counted by the auditor and how to perform a test count. The candidates were expected to apply a risk based approach. It was possible that most candidates had prior experience on inventory count, as the results were satisfactory.

Question 2(c) – 7 marks

The question required candidates to propose procedures to address stock items not being counted at year end and explain how alternative procedures, such as roll-backward or confirmation procedures, should be applied. This situation was quite specific, but not uncommon. Candidates who applied knowledge to this situation scored good marks.

Question 3(a) – 5 marks

The question required candidates to propose procedures to audit the classification and presentation assertions of bank loans and finance lease payables. The results were fair because many candidates proposed general audit procedures that lacked specificity. Some candidates were unable to distinguish between the different procedures that should be used on bank loans and finance lease payables due to different account balances.

Question 3(b) – 5 marks

The question required candidates to propose procedures to audit the accuracy and completeness assertions of interest expenses relating to bank loans and finance lease payables. The results were not satisfactory because most candidates misread the questions and suggested procedures that addressed other assertions



(such as existence); some candidates answered control procedures that were not asked.

Question 4(a) – 5 marks

The question required candidates to propose procedures to audit the rights and obligation assertions of the land under a specific situation where a land certificate could not be obtained. The situation could happen in real life. Candidates were not able to demonstrate their thought process and apply auditing skills.

Question 4(b) – 5 marks

The question required candidates to propose procedures to audit construction-in-progress, which was a straightforward question. However, candidates did not score average marks because they provided audit procedures that were too general and failed to address the risk associated with this account.

(II) Section B – Essay/Short Questions

General Comments

Section B covered a wide range of topics from corporate governance, professional ethics, IT software and controls over system conversion, going concern assessment and audit opinion. Candidates in general achieved better results when questions were straightforward and required answers that can be found in the Learning Pack. However, candidates should be more analytical, practical and sensible in applying the knowledge learnt from the Learning Pack.

Generally, candidates performed less satisfactorily on IT system and related controls, as well as going concern assessment. This may be the result of candidates lacking experience in these areas. The last question of Section B, which was about audit opinion drafting, required a straightforward answer. However, candidates did not perform well in this question, which may be due to poor time management.

Specific Comments

Question 5(a) – 5 marks

The question required candidates to suggest five improvement recommendations in accordance with the corporate governance requirements in Hong Kong using facts presented in the case.

Many candidates performed well and were able to suggest appropriate recommendations. Candidates are encouraged to further elaborate in order to score higher marks.



Question 5(b) – 5 marks

The question required candidates to propose actions of the audit committee in discharging its corporate governance responsibilities in relation to the inventory loss.

The performance of the candidates in this question was not satisfactory. Many candidates only explained the general roles and responsibilities of an audit committee in accordance with the corporate governance requirements, but failed to explain the specific actions required for the audit committee in the scenario presented in the question.

Question 6(a) – 2 marks

The question required candidates to analyse and explain whether there were ethical and professional issues if a Chief Financial Officer and Executive Director of a listed company in Hong Kong plan to purchase shares of the listed company; candidates were required to identify possible safeguards.

The performance of the candidates in this question was fair. Many candidates failed to identify and explain the self-interest threat in relation to the case. Not many candidates were able to advise sensible safeguards.

Question 6(b) – 6 marks

The question required candidates to analyse and explain the possible ethical and professional issues based on the facts presented in the question, such as giving an expensive hamper to the client and total non-audit fees would be twice the audit fees. Candidates were also required to suggest possible safeguards.

Candidates did not perform well in this question. Some candidates were able to identify the self-interest threat relating to giving an expensive hamper to the client and the double of non-audit fees versus audit fees. However, many candidates failed to explain such a threat and advise possible safeguards.

Question 6(c) – 5 marks

The question required candidates to analyse and explain whether there are possible ethical and professional issues based on the facts presented in the question and advise the possible safeguards.

Candidate performance was fair. Many candidates were able to explain Peter had a duty of confidentiality to his client. However, many candidates failed to explain in detail that Peter breached his duty of confidentiality and advise sensible safeguards.



Question 7(a) – 4 marks

The question required candidates to explain the differences between bespoke software and off-the-shell software in terms of control procedures, data and file structures, ongoing maintenance and customisation.

Many candidates performed well in this question and were able to explain the differences between the two types of software.

Question 7(b) – 2 marks

The question required candidates to identify the bespoke and the off-the-shell software based on the facts provided in the question.

Many candidates performed well in this question and correctly identified the bespoke and the off-the-shell software.

Question 7(c) – 6 marks

The question required candidates to advise six internal controls that should be in place relating to overseeing system conversion.

Candidate performance was unsatisfactory. Many candidates suggested general IT controls that were not related to system conversion. This may be due to candidates being less experienced in system conversion.

Question 8(a) – 8 marks

The question required candidates to propose audit procedures in evaluating the appropriateness of the management's use of the going concern basis of accounting in preparation of the financial statements by Fast Growth.

Candidate performance was not satisfactory. Candidates were only able to propose certain general audit procedures relating to going concern assessment, but failed to suggest specific audit procedures in terms of assessing the reliability of management's cash flow forecasts and business plans.

Question 8(b) – 7 marks

The question required candidates to prepare the sections on the auditor's opinion, basis of opinion and material uncertainty related to going concern in the auditor's report.

Many candidates did not perform well in this question. Some candidates overlooked the question requirements and suggested modified audit opinions. Some candidates failed to draft the audit opinion using the facts provided in the question.



(III) Conclusion and Recommendation

The candidates' performance in this examination was similar to the prior session. In general, candidates had a good understanding of the Learning Pack materials. Some candidates were able to show their abilities by applying their technical knowledge to the questions with the facts and circumstances provided. Candidates were good at handling questions that required design and proposal of audit procedures, but less proficient in questions that required reasoning and analysis to support their audit judgement. Candidates performed better on questions dealing with audit execution procedures and performed less satisfactory on questions relating to the audit planning and audit completion procedures.